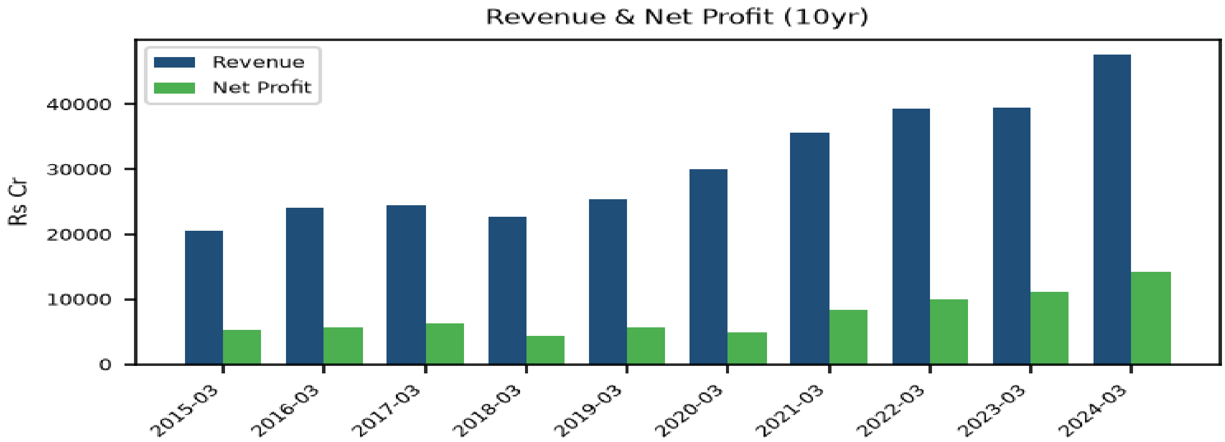
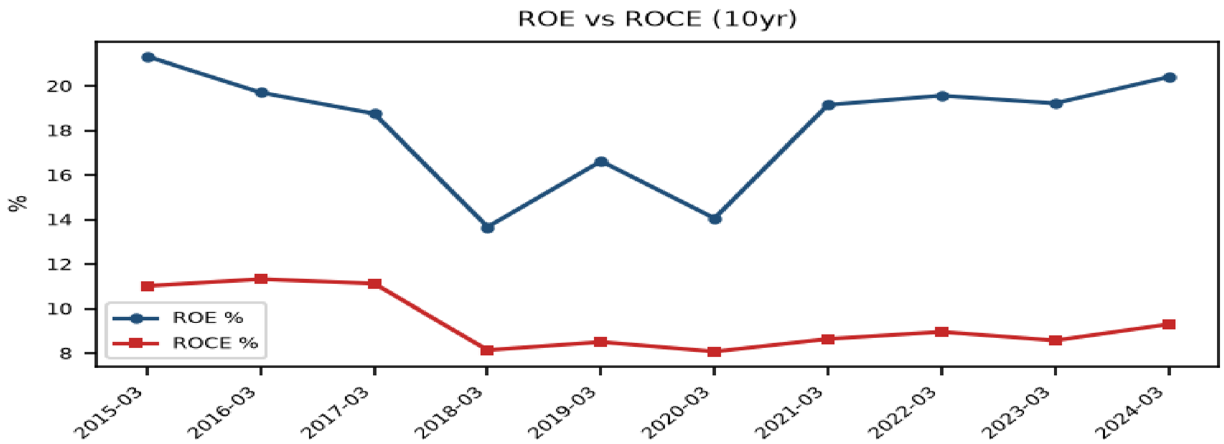
REC Ltd (RECLTD)

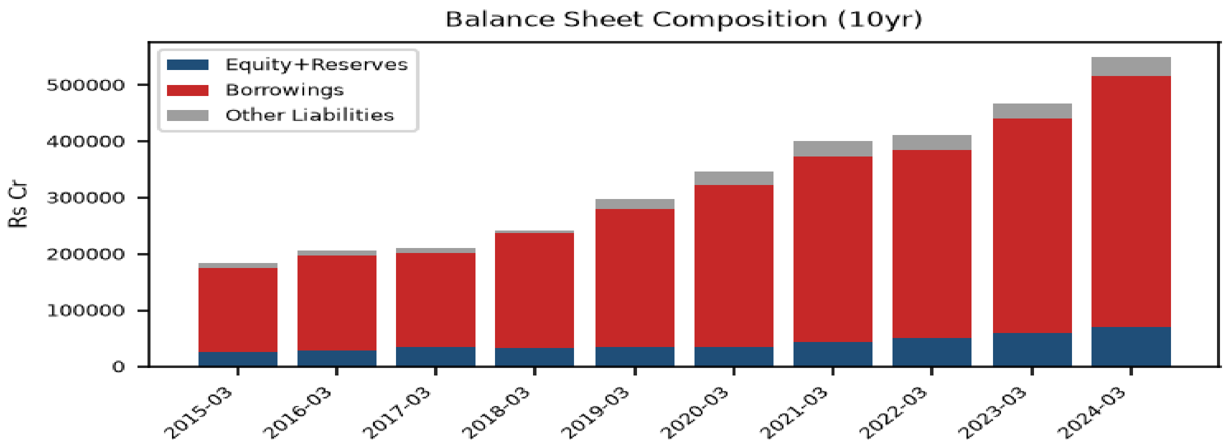
Sector: Financials

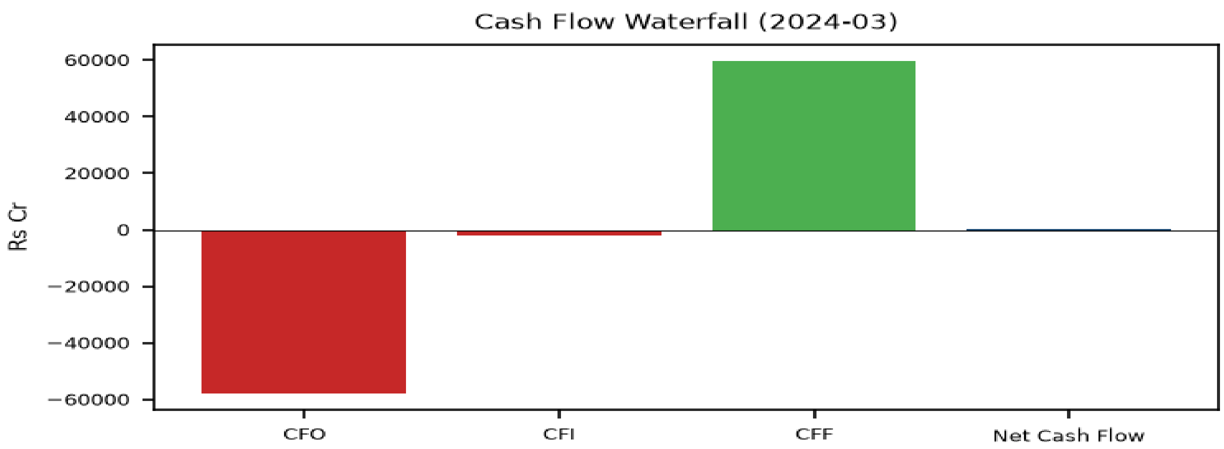
ROE	ROCE	D/E
20.4%	9.3%	6.42x

OPM	Revenue CAGR 5yr	Free Cash Flow
100.8%	13.3%	Rs -59,554 Cr









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt